CHAPTER 4

First Look at Analysis

Explained so simply a 10-year-old gets it

Two pairs of glasses for looking at a stock — one for what a business is worth, one for what its price is doing — and when to wear each.

Stock Market Mastery Roadmap • Beginner Level

Educational only — not investment, trading, or tax advice.

There are two big ways to look at a stock. Think of them as **two pairs of glasses** — each one lets you see a *different* thing. Smart people learn to switch between them.

👓 The two lenses (two pairs of glasses)

Lens	Question it answers	Like...
Fundamental analysis	What is this business really **worth**?	checking if a toy is **well-made** and worth the price
Technical analysis	What is the **price doing** right now?	watching the **crowd** to see where everyone is rushing

Fundamentals study the *company* — its money, profits, and growth. **Technicals** study the *price chart* — the ups, downs, and patterns. One looks at the **cake**, the other looks at the **queue** for the cake.

🔭 Two directions of thinking: top-down vs bottom-up

- **Top-down** 🔍⬇️ — start big, then zoom in: "The **economy** looks good → which **industry** wins → which **company** in it is best?" Like using a map before picking a street.
- **Bottom-up** 🔎⬆️ — start small: "I found a **great company** — now let me check its industry and the economy." Like loving one shop and *then* checking the neighbourhood.

⏱️ Time horizons: how long are you holding?

The "right" glasses change depending on **how long** you plan to hold. Same stock, different game:

Style	How long you hold	Which lens matters more
Investing	years	mostly **fundamentals**
Positional	weeks to months	both, leaning fundamental
Swing	a few days to weeks	both, leaning technical
Intraday	within one day	almost all **technicals**

> **WHY THE LENS CHANGES WITH TIME**
> Over **years**, a company's real quality wins — so fundamentals matter most. Over **minutes and hours**, it's all about the crowd's mood and price moves — so technicals matter most. Pick your glasses to match your **holding time**.

🌊 What moves prices? (Short run vs long run)

Prices move for **different reasons** depending on the timeframe:

- **Short run** (today, this week) ⎡ driven by **flows** (big buyers/sellers), **sentiment** (mood), and **news**. Fast and jumpy — like the weather.
- **Long run** (years) ⎜ driven by **earnings**, **growth**, and **interest rates**. Slow and steady — like the climate.

Weather changes every hour; climate changes over years. Don't confuse a rainy afternoon (news blip) with a change of season (real growth).

🧩 A simple formula for price

> **PRICE = FUNDAMENTALS + NARRATIVE + LIQUIDITY**
> Every price is a mix of three things: **Fundamentals** (how good the business really is), **Narrative** (the *story* people believe about it), and **Liquidity** (how much money is sloshing around wanting in or out). Each lens only sees *part* of this — which is why no single lens is the whole truth.

💡 Key ideas to remember

- **Price = fundamentals + narrative + liquidity** — each lens sees a different piece.
- **Neither lens is "correct"** — they answer **different questions**. Asking which is "right" is like asking whether a map or a thermometer is "correct" — depends what you need!
- **Signal vs noise** 📡 — most **daily** price wiggling is just **noise** (random jitter). The real **signal** (what truly matters) shows up over longer stretches. Don't react to every twitch.

PRACTICAL EXERCISES

- ✍️ **Pick one company you use** (a snack, an app, a shop). Write **half a page** with the *fundamental* glasses on (is the business good?), then **half a page** with the *technical* glasses (what is the price doing?). Notice how **differently** you think each time!
- 📓 **Track one stock for two weeks.** Every time it moves a lot, write a **one-line "why."** By the end you'll start telling signal from noise.

REAL-WORLD APPLICATION

- 🧑‍💼 **Pros use both lenses together:** fundamentals decide **what** to trade, and technicals decide **when** and **where** to enter, exit, and place their safety-stop. The two glasses work as a team, not rivals.

> **ONE-LINE SUMMARY**
> Two pairs of glasses: **fundamentals** tell you *what a business is worth*, **technicals** tell you *what the price is doing*. Match the lens to your **time horizon**, remember that **price = fundamentals + narrative + liquidity**, ignore the daily **noise**, and let the two lenses team up — *what* to trade from one, *when/where* from the other.